

Q. Define international entrepreneurship? its importance?
And write down entrepreneurial entry strategies?

International entrepreneurship:-

- ⇒ it is the process of conducting an entrepreneurs business activities across national boundaries.
- ⇒ it may consist of exporting business activities, licensing, opening sales in another country etc.
- ⇒ These activities are necessary for ascertaining and satisfying the needs and wants of target consumers take place in more than one country.

Significance of international Entrepreneurship

- o Increased sales and profit.
- o Advantage of cheap labor and lower manufacturing cost.
- o Growth opportunities (when domestic market falls on saturation).

- Globalization of customers
- International market competition

Entrepreneurial Entry Strategy

⇒ There are various ways an entrepreneur can market products internationally.

⇒ The method of entry into a market and the mode of operating overseas are dependent on the goals of the entrepreneur and the company's strength and weaknesses.

⇒ The modes of entering and engaging in international business can be divided into three general categories:

1. Exporting

- Direct exporting
- Indirect exporting

2. Non-equity arrangement

- Licensing
- Turn-key projects
- management contracts

3. Direct foreign Investment

- minority interest
- Joint ventures
- majority interest
- mergers

1. Exporting:

⇒ The process of selling of goods produced in one country to another countries.

⇒ An entrepreneur starts doing international business through exporting.

⇒ It involves the sale and shipping of products manufactured in one country to a customer located in another country.

⇒ There are two general classifications of exporting:

1. Direct
2. Indirect

Indirect exportings

⇒ In this approach, the company sells its products or services to an intermediary, such as a trading company or

an export management system/company who then sells them in foreign markets.
⇒ The intermediary handles tasks like distribution, marketing and sales.

Direct exporting

⇒ This involves selling products or services directly to customers in foreign markets without involving intermediaries.
⇒ Companies may establish their own sales offices, use agents, distributors, or engage in e-commerce platforms to reach international customers.

Example:

Pros:

- Ability to capitalize on experience in location selection.

Cons:

- High transport costs
- Trade barriers
- Creation of efficient competitors

2. Non-equity Arrangements

→ A method by which an entrepreneur can enter a market and obtain sales and profits without direct equity investment in the foreign market.

1. Licensing:

⇒ Companies grant a license to foreign firms to produce and sell their products or use their intellectual property in exchange for royalties or fees.

⇒ This allows companies to enter foreign markets with minimal investment and risk, while benefiting from the local partner's knowledge and resources.

⇒ "Licensing involves an entrepreneur who is a manufacturer giving a foreign manufacturer the right to use a patent, trademark, technology, production process, or product. In return for the payment of a royalty.

⇒ Good method when the entrepreneur has no intention of entering a particular market through exporting or direct investment.

Pros:

- Low development costs
- Low development risks

Cons:

- Lack of control over technology
- Inability to engage in global strategic coordination.

A software company licenses its proprietary software technology to a company in another country. The foreign companies pay royalties to the software company for the right to use the technology in its products.

⇒ In this arrangement, a company designs, builds, and transfers a fully operational facility or project to a foreign client. The client pays a fee for the completed project.

⇒ Turn-key projects are common in industries such as construction, manufacturing and infrastructure.

⇒ Through this method, entrepreneurs can do business internationally without much risk.

Def:

⇒ "A method of doing international business whereby a foreign entrepreneur supplies the manufacturing technology or infrastructure for a business and then turns it over to local owners."

Pros:

- Ability to earn returns from process technology skills in countries where FDI is restricted.

Cons

- o Creation of efficient competitors
- o Lack of long term market presence

Examples

- o An engineering firm is hired by government in a developing country to design, build and commission a new power plant.
- o The engineering firm takes care of all aspects of the project, from initial planning to final execution, and hands over the fully operational power plant to the client upon completion.

3. Management Contracts

- ⇒ A nonequity method of international business in which an entrepreneur contracts his or her management techniques and skills to a (foreign) purchasing company.
- ⇒ Companies provide management expertise and services to foreign firms in exchange for fees.

2. Direct Foreign Investment:

⇒ This involves a company from one country making a physical investment into building facilities or operations in another country.

Examples

- o Toyota establishing manufacturing plants in the United States to produce cars for the American market.

Methods

1. Minority interests
2. Joint ventures
3. Majority interest
4. Mergers

- o Horizontal Mergers
- o Vertical Mergers
- o Product extension mergers
- o Market extension mergers

1. Majority interest (also known as company share)
 - o This strategy involves acquiring a minority stake in a foreign company.

- may have limited control over the company decisions, but has the right to be heard and receive info ^{related to the company}
- o A minority interest can provide a firm with a source of raw materials or a relatively captive market for its products.
- o Entrepreneurs have used minority to acquire experience in a market before making a major commitment.

Example:

- o A venture capital firm investing in a promising start up in another country while holding a minority ownership stake.

Pros:

- o Access to local partner's knowledge
- o Shared development costs and risks
- o Politically amenable.

Cons:

o

2. Joint Ventures:

- ⇒ The joining of two firms in order to form a third company in which the equity is shared.
- ⇒ Joint ventures involve two or more businesses collaborating and pooling resources to achieve a common goal.

Use: Entrepreneurs using a joint ventures most often in two situations:

1. To purchase local knowledge as well as already established manufacturing facility.
2. When rapid entry into a market is needed.

Ex:

- o Sony and Ericsson forming a joint venture to produce mobile phones, resulting in the creation of Sony Ericsson.
- o e.g. Us firm and one german firm.

Pros:

- Access to local pastness knowledge
- Shared development costs and

Risks:

- Politically Acceptable.

Cons:

- Lack of control over technology
- Inability to engage in global strategic coordination.

3. Majority interest:

⇒ The purchase of over 50 percent of the equity in a foreign business.

⇒ This strategy involves acquiring a majority ownership stake in a foreign company.

⇒ It allows the entrepreneurs to obtain managerial control while maintaining the acquired firm's local identity.

- Greater control over company decisions but lesser responsibility for company performance.

Ex:

- Walmart acquiring a majority stake in Flipkart.

4. Mergers

⇒ Mergers involve two companies combining to form a new entity or to operate as a single entity.

Types of Mergers

⇒ There are five types of mergers:

1. Horizontal merger
2. Vertical merger
3. Product extension merger
4. Market extension merger
5. Diversified activity merger

• Horizontal merger:

⇒ A type of merger combining two firms that produce one or more of the same or closely related products in the same geographic area.

e.g.

- The merger between Disney and 21st Century Fox.

◦ Vertical merger: (that provide different supply chain function for two companies)

⇒ The merger of two companies involved in different stages of the supply chain (at different stages of production process).

⇒ Combination of two or more firms in successive stages of production that often involve a buyer-seller relationship.

e.g.

- McDonald's acquiring its store franchises
- A car manufacturer merges with a tire producer.

◦ Product extension merger:

⇒ A type of merger in which acquiring and acquired companies have related production and/or distribution activities but do not have products that compete directly with each other.

⇒ The merger of two companies offering complementary products or services.

Ex:

⇒ When Google acquired YouTube to enhance its video content offerings.

◦ Market extension merger

⇒ Combination of two firms producing the same products but selling them in different geographic markets.

⇒ Acquiring firm can economically combine its management skills, production, and marketing with those of the acquired firm.

Ex:

◦ The acquisition of Diamond chain by Dayton Hudson.

② Diversified activity merger

⇒ Also called conglomerate merger

⇒ Involving the consolidation of two essentially unrelated firms.

⇒ The acquiring firm is not interested in either using its cash resources to expand shareholder wealth.

⇒ The merger of two companies operating in unrelated industry.

Ex:

⇒ General Electric merged with NBC Universal.

Conclusion:-

⇒ These strategies offer entrepreneurs various avenues for expanding their businesses domestically and internationally, each with its own advantages and considerations.

